SK Innovation (096770 KS)

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Shares undervalued relative to W10tn OP

2026 OP of W10tn achievable

S-Oil's 2026 earnings windfall will likely be much bigger than expected. We estimate 2026 sales at W102.2tn, OP at W10.0tn (OPM 9.8%), and net profit attributable to controlling interest at W3.6tn. This reflects a "triple tsunami effect" of: 1) disruptions to crude oil supply due to the Iran war (4-6%); 2) delays in restarting damaged Middle East petrochemical facilities (2-3%); and 3) damage to energy facilities from the Russia-Ukraine war (3-4%), resulting in ongoing disruptions equivalent to 14% of global supply. By business, we estimate OP at W6.2tn (vs W349.9bn in 2025) for refining, W2.2tn (W607.6bn) for lube oil, W954.4bn (W681.1bn) for E&S, and -W96.4bn (-W923.5bn) for battery.

Three restructuring tasks remain

Following the 2024 merger with SK E&S (power plants), and 2025 downsizing of SK On (withdrawal from the US joint venture with Ford), three restructuring tasks remain for 2H26-2027. First, in August, SK Innovation announced plans to merge with its separator subsidiary SK IE Technology. The transaction will be conducted as a small-scale merger and dilute SK Innovation's shares outstanding by 2.6%. Second, in 4Q26, SK City Gas Holdings, which operates the city-gas business, is expected to be sold to global PE firm KKR. The disposal represents an in-kind settlement of W3.2tn in redeemable convertible preferred shares issued five years ago, resulting in a reduction in enterprise value. Third, in 2027, SK Geo Centric, the chemicals subsidiary, may mothball or close its 660,000-tpa NCC facility. The facility, with a book value of approximately W1tn, is subject to the government-led restructuring of commodity petrochemical facilities in Ulsan.

Net debt could decline by W6tn; target price raised to W200,000

As the earnings uplift from refining and lubricants will likely outweigh the decline in enterprise value resulting from restructuring, we raise our 2026 target price from W170,000 to W200,000. In particular, free cash flow from operations (calculated as EBITDA minus corporate taxes, interest expenses and capex) is estimated at W4.5tn in 2026 and W1.5tn in 2027. This represents a return to positive territory for the first time in five years and should lead to an improvement in the firm's financial structure. Consolidated net debt could decline from W29tn in 2024 to W24tn in 2025, W20tn in 2026E, and W18tn in 2027E.

BUY (M)

Target price	W200,000 (Up)
Previous target price	W170,000
Current price (Sep 14)	W136,700
Upside potential	46%

Market cap (Wbn)	23,110
Shares outstanding	170,301,214
Avg daily T/O (2M, Wbn)	113
Avg daily volume (2M, shrs)	925,874
52-week high/low (won)	153,500 / 89,500
Foreign ownership (%)	15.81%
Dividend yield (%)	0.00%
Major shareholders	SK Inc & others

Stock performance

(%)	1M	3M	12M
Absolute	6.2	28.8	26.7
Relative	10.9	56.6	(35.6)
Abs (US$)	11.8	45.3	30.5

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	26,134	28.5	-10.6	26,109	0.1
OP	2,440	2,355.4	-31.6	1,707	43.0
Pre-tax net profit	2,576	11,513.5	352.2	1,309	96.8
Net profit, CI	1,416	TTB	558.7	829	70.9
OPM (%)	9.3	+8.8 %pt	-2.9 %pt	6.5	+2.8 %pt
NPM (%)	5.4	TTB	+4.7 %pt	3.2	+2.2 %pt

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	74,270	80,296	102,297	82,178
OP	356	449	10,055	5,111
Net profit, CI	-2,260	-3,348	3,599	2,730
P/E (x)	-5.3	-5.2	6.4	8.5
P/B (x)	0.7	0.9	0.8	0.7
EV/EBITDA (x)	23.2	19.4	3.9	6.2
ROE (%)	-9.6	-14.4	14.3	9.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

SK Innovation: earnings estimate revision

(Wbn)	Old			New			Difference (%)		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Sales	25,207	101,415	84,525	26,134	102,297	82,178	3.7%	0.9%	△2.8%
OP	2,083	9,932	5,489	2,440	10,055	5,111	17.1%	1.2%	△6.9%
OPM (%)	8.3%	9.8%	6.5%	9.3%	9.8%	6.2%	1.1%	0.0%	△0.3%
Pretax profit	2,298	6,233	5,168	2,576	4,285	3,731	12.1%	△31.2%	△27.8%
Net profit, CI	1,262	3,524	2,894	1,416	3,599	2,730	12.2%	2.1%	△5.7%

Note: CI = controlling interest
Source: Yuanta Securities

SK Innovation (096770 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**74,270**	**80,296**	**102,297**	**82,178**	**72,552**
Cost of sales	70,256	75,996	88,041	73,818	67,101
Gross profit	4,013	4,300	14,257	8,360	5,451
SG&A	3,950	4,570	4,280	3,250	2,869
Operating profit	**356**	**449**	**10,055**	**5,111**	**2,581**
EBITDA	2,518	2,965	13,038	8,161	5,644
Non-operating profit	-2,658	-6,317	-3,690	-199	-411
Forex gains	-374	308	175	180	0
Net interest income	-1,067	-1,120	-969	-676	-728
Equity-method gains	-430	-246	41	71	74
Other	-786	-5,260	-2,938	226	243
Net prof before income tax	-2,302	-5,869	6,365	4,912	2,171
Income tax	0	-955	2,080	1,180	518
Net profit from continuing ops	-2,302	-4,914	4,285	3,731	1,653
Net profit from discontinued ops	-70	-523	23	0	0
Net profit	-2,372	-5,436	4,309	3,731	1,653
NP for controlling interest	**-2,260**	**-3,348**	**3,599**	**2,730**	**1,182**
Total comprehensive income	1,016	-5,938	6,030	3,731	1,653
Total comprehensive income, CI	12	-3,800	5,132	2,730	1,182

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**36,318**	**42,795**	**50,716**	**47,196**	**43,957**
Cash & cash equivalents	15,865	16,092	25,722	25,165	23,899
Accounts receivables & other	8,567	7,879	9,848	8,796	8,026
Inventory	10,336	9,559	11,627	9,718	8,515
Non-current assets	74,212	62,813	64,222	64,700	65,179
Tangible assets	56,720	47,195	48,219	49,040	49,816
Investment in affiliates	8,818	7,415	7,878	7,878	7,878
Other investment assets	1,649	1,109	1,263	1,192	1,133
Total assets	**110,530**	**105,608**	**114,937**	**111,897**	**109,136**
Current liabilities	37,726	41,057	46,906	40,204	42,429
Accounts payable & other	18,689	17,107	20,369	17,250	15,017
ST financial liabilities	12,051	7,202	7,915	7,692	7,565
Liquid LT liabilities	6,050	9,372	9,944	7,805	13,402
Non-current liabilities	33,156	28,160	26,917	27,187	20,889
LT financial liabilities	15,398	16,959	11,863	11,842	9,108
Debentures	11,634	5,806	7,945	8,745	5,602
Total liabilities	**70,881**	**69,217**	**73,822**	**67,391**	**63,317**
Equity, controlling interest	24,641	21,792	28,577	30,966	31,809
Paid-in capital	786	876	876	876	876
Capital surplus	12,747	13,245	13,982	13,982	13,982
Retained earnings	8,231	4,304	7,911	10,300	11,142
Equity, non-controlling interest	15,007	14,599	12,538	13,540	14,010
Total equity	**39,649**	**36,391**	**41,115**	**44,506**	**45,819**
Net debt	**31,533**	**25,276**	**15,244**	**14,168**	**14,985**
Total debt	47,855	41,966	41,520	39,887	39,439

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**2,233**	**2,283**	**8,750**	**8,827**	**5,794**
Net profit	-2,372	-5,436	4,309	3,731	1,653
Depreciation & amortization	2,125	2,865	2,772	2,779	2,824
Forex gains	262	-208	-298	-180	0
Affiliate investment gains	282	246	-41	-71	-74
Increase in net working cap	1,674	38	-2,465	1,116	634
Other	262	4,779	4,474	1,451	757
Investing cash flow	**-7,295**	**-4,285**	**-3,236**	**-3,349**	**-3,541**
Investment	-160	991	-76	71	59
Increase in tangible assets	-10,028	-5,367	-3,430	-3,600	-3,600
Decrease in tangible assets	72	565	20	0	0
Other	2,820	-474	250	180	0
Financing cash flow	**7,327**	**2,346**	**-3,898**	**-1,633**	**-448**
ST financial liabilities	4,004	-4,701	767	-273	-169
Debenture/LT financial liabilities	12,801	-1,188	-1,213	-1,360	-280
Equity	2,628	588	738	0	0
Cash dividend	-314	-681	-299	-340	-340
Other cash flow	-11,792	8,328	-3,891	340	340
Consolidation adj and other	526	-117	8,015	-4,401	-3,070
Increase in cash & equivalents	**2,791**	**226**	**9,631**	**-557**	**-1,266**
Beginning cash & equivalents	13,074	15,865	16,092	25,722	25,165
Ending cash & equivalents	15,865	16,092	25,722	25,165	23,899
NOPLAT	356	449	**10,055**	**5,111**	**2,581**
FCF	**-7,795**	**-3,084**	**5,320**	**5,227**	**2,194**

Valuation

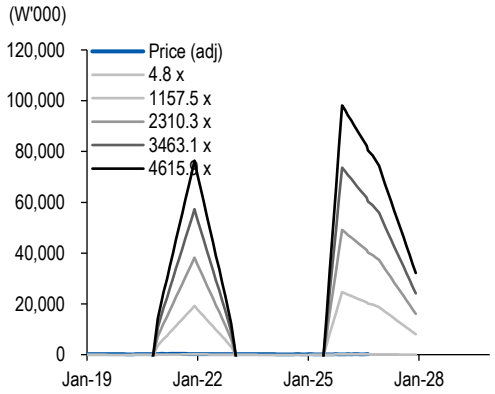
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-21,510	-21,223	21,276	16,133	6,979
BPS (won)	165,656	129,848	168,203	182,269	187,226
EBITDA/shr (won)	23,660	18,651	76,560	47,920	33,143
SPS (won)	697,896	505,017	600,685	482,547	426,020
DPS (won)	2,000	0	2,000	2,000	2,000
P/E (x)	**-5.3**	**-5.2**	**6.4**	**8.5**	**19.6**
P/B (x)	**0.7**	**0.9**	**0.8**	**0.7**	**0.7**
EV/EBITDA (x)	**23.2**	**19.4**	**3.9**	**6.2**	**9.2**
P/S (x)	**0.2**	**0.2**	**0.2**	**0.3**	**0.3**

Key financial data

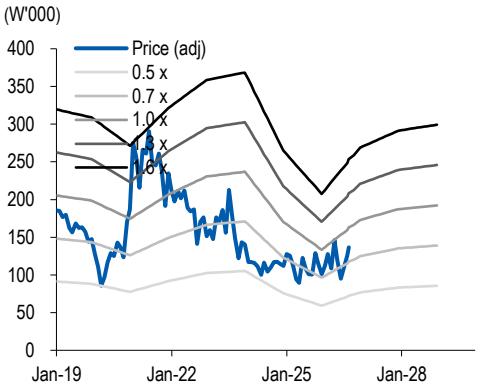
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-3.9**	**8.1**	**27.4**	**-19.7**	**-11.7**
Operating profit (%YoY)	**-81.3**	**26.1**	**2,141.1**	**-49.2**	**-49.5**
Net profit, CI (%YoY)	**TTR**	**RR**	**TTB**	**-24.2**	**-56.7**
Gross margin (%)	5.4	5.4	13.9	10.2	7.5
Operating margin (%)	**0.5**	**0.6**	**9.8**	**6.2**	**3.6**
Net margin, CI (%)	-3.0	-4.2	3.5	3.3	1.6
EBITDA margin (%)	3.4	3.7	12.7	9.9	7.8
ROIC (%)	0.7	0.7	14.5	8.1	3.9
ROA (%)	-2.4	-3.1	3.3	2.4	1.1
ROE (%)	**-9.6**	**-14.4**	**14.3**	**9.2**	**3.8**
Debt-to-equity (%)	178.8	190.2	179.6	151.4	138.2
Net debt-to-equity (%)	128.0	116.0	53.3	45.8	47.1
OP/financing cost (x)	0.2	0.3	6.7	3.8	1.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

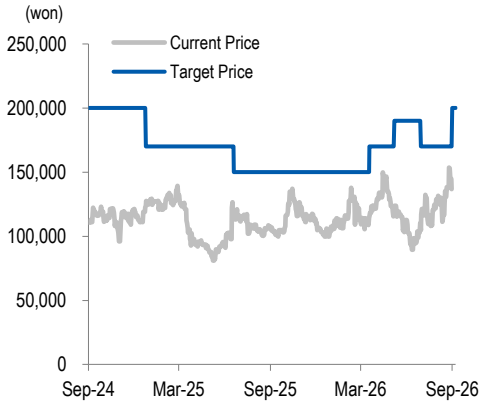
P/E band chart



P/B band chart



SK Innovation (096770 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/15	BUY	200,000	1 yr		
2026/07/14	BUY	170,000	1 yr	-26.77	-9.71
2026/05/22	BUY	190,000	1 yr	-44.74	-35.95
2026/04/02	BUY	170,000	1 yr	-24.14	-11.88
2025/07/04	BUY	150,000	1 yr	-25.12	-8.20
2025/01/08	BUY	170,000	1 yr	-35.31	-18.12
2024/06/04	BUY	200,000	1 yr	-44.32	-38.50

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 15, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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